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Recycling with the Best

Weekly Ship Recycling Report

14 September - 20 September 2024

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Highlights of the week

The ship recycling industry is enduring a challenging phase, marked by weak sentiment and low activity across all major markets. In India, market participants are cautious, holding off on offers as prices adjust to reflect current conditions. Bangladesh is similarly impacted by stricter regulations and limited demand, while Pakistan remains entirely inactive, struggling under the weight of cheaper imports. Türkiye also sees little movement, with no signs of improvement in local or import activity. Overall, the global ship recycling sector is navigating through turbulent waters, with stakeholders waiting for clearer signals and more stable conditions before taking decisive action. The industry, much like a ship in rough seas, is struggling to find its course amidst challenging economic conditions and regulatory pressures.

Japan-based NYK and Oono Development have signed an MoU to jointly explore the commercialization of responsible ship recycling in Japan. The collaboration seeks to develop an environmentally friendly method for dismantling ships and offshore structures, converting them into recyclable materials such as steel scrap, with Oono Development's dry dock as the operational base.

The European Recycling Industries' Confederation (EuRIC) has launched the Ship Recycling Working Group (ESRG) to address key challenges in EU ship recycling. ESRG's priorities include creating a level playing field for EU-listed yards, simplifying bureaucratic processes, expanding the regulation's scope to cover all vessel types, strengthening control mechanisms for proper certification, and reinforcing the EU ship recycling sector by reducing the number of end-of-life vessels leaving the region.

Exchange Rates:

USD / INR ₹

This Week	: 83.54
Previous Week	: 83.91
Gained	: 0.37

USD / BDT ৳

This Week	: 119.51
Previous Week	: 119.47
Lost	: 0.04

USD / PKR Rs

This Week	: 277.93
Previous Week	: 278.22
Gained	: 0.29

USD / TRY ₺

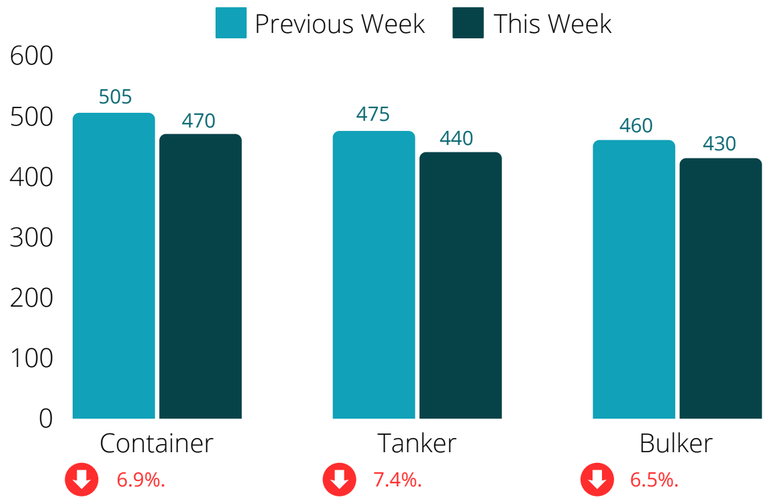
This Week	: 34.11
Previous Week	: 33.95
Lost	: 0.16

India

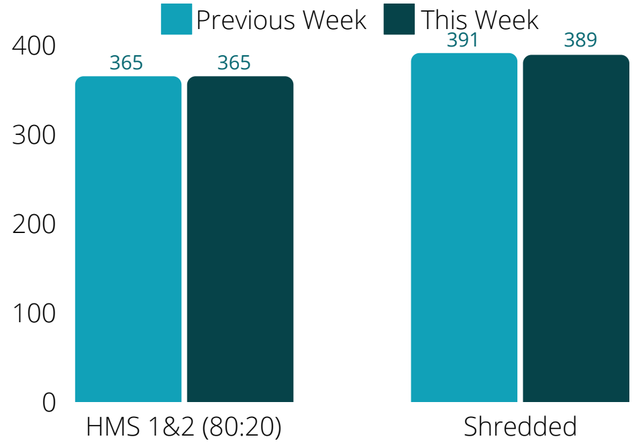
Market subdued as negative sentiment prevails and cautious approach continues.

- The market is currently subdued, with negative sentiment continuing to dominate.
- Market participants are becoming more cautious and refraining from making offers, choosing to observe the situation instead. This cautious approach is likely to continue throughout the month.
- There is a shift towards offering more realistic prices that align with current market conditions.
- If prices decline further, the market is expected to stabilize, following a typical trend seen during such periods.

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

20 September to 24 September 2024

03 October to 08 October 2024

15 October to 23 October 2024

Bangladesh

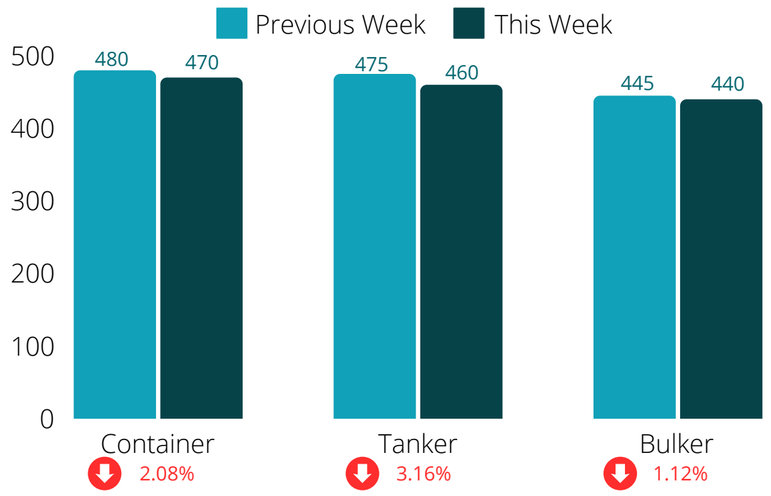
Market weakness continues amid low demand and upcoming compliance deadline.

- The local market continues to experience weakness, with minimal sales and subdued demand.
- As highlighted in the previous report, the issuance of NOCs has become significantly stricter, with more rigorous enforcement measures. Recycling yard owners have been granted a specific timeframe to align with SRFP requirements, with a target date of November 14, 2024.
- Market players are closely observing the situation, and overall market sentiment remains consistent with the previous week, continuing to reflect a pessimistic outlook.
- The opening of LCs for imports in Bangladesh dropped from USD 11.51 billion to USD 10 billion in July-August FY 2024-25, a 13% decline compared to the same period last year, while LC settlements fell by 8.29%, according to the Bangladesh Bank. The decline is primarily attributed to national unrest.

Beaching Dates

01 October to 04 October
16 October to 19 October
30 October to 02 November

Price for Recycling Ships in Bangladesh



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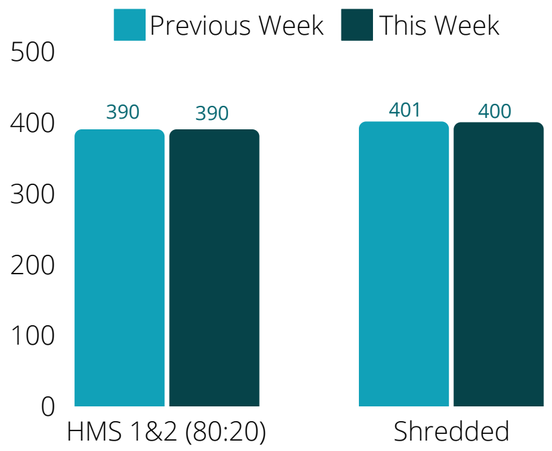
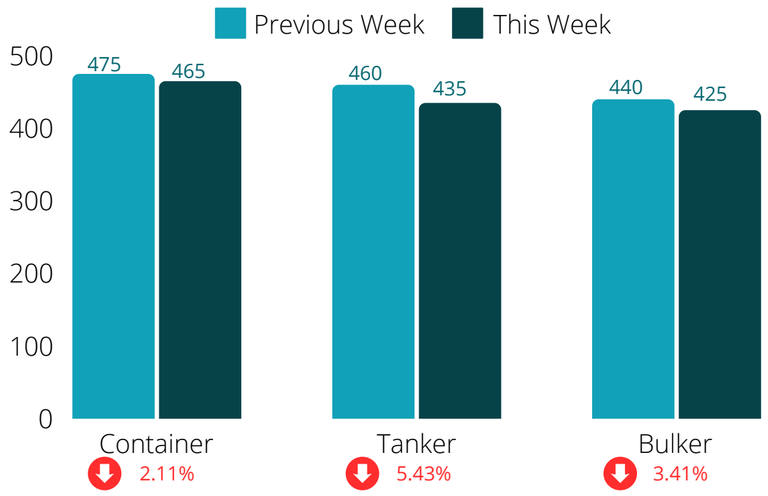


Pakistan

Market paralyzed by pessimism and cheap imports, showing no signs of recovery.

- The market is completely nonexistent, with no activity and there's a strong sense of pessimism in the market, with no signs of recovery or improvement.
- The dominance of low-cost imports has eroded any potential for revival, leaving the market in a state of inactivity.
- The Ministry of Foreign Affairs announced that two MOUs worth over USD 350 million were signed between Pakistani and Chinese companies at the China International Fair for Trade in Services, further strengthening economic ties between the two nations.
- There are reports that the government is considering a proposal to establish a new steel mill in Pakistan with Russian cooperation, and both countries have agreed to form working groups to advance the project.

Price for Recycling Ships in Pakistan



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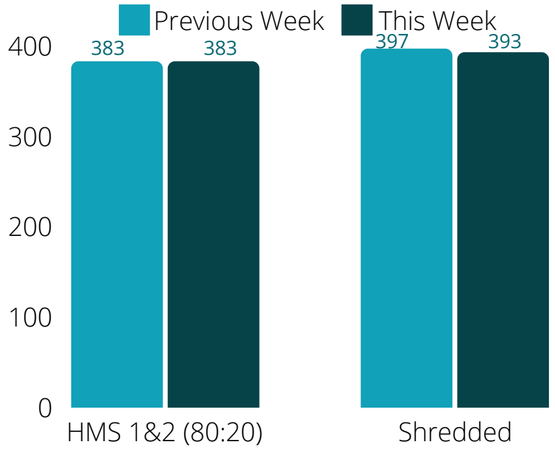


Beaching Dates

Throughout the month

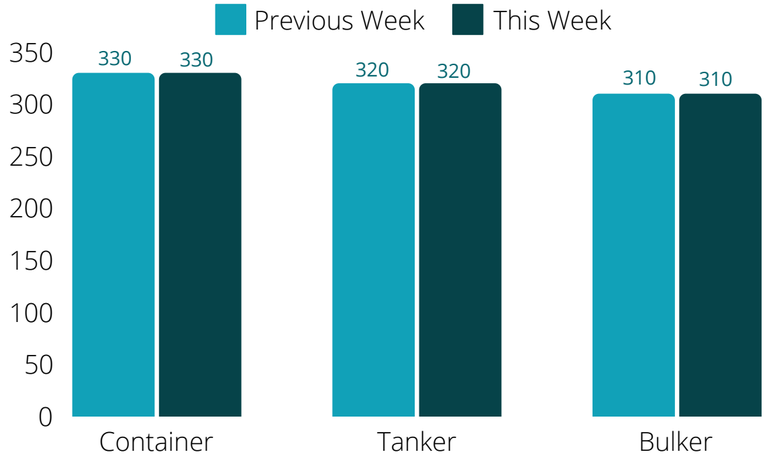
Türkiye

The market remains in limbo, showing no shifts or growth in local activity.

- The market sees minimal shifts or movements, remaining largely unchanged from last week, with no improvements in imports or local activity.

- The Central Bank of Türkiye held interest rates at 50% for the sixth month, signaling cautious optimism amid stabilizing inflation. Analysts expect potential rate cuts by November, with a projected 20-point drop by the end of 2025, likely impacting interest-sensitive sectors.

Price for Recycling Ships in Türkiye



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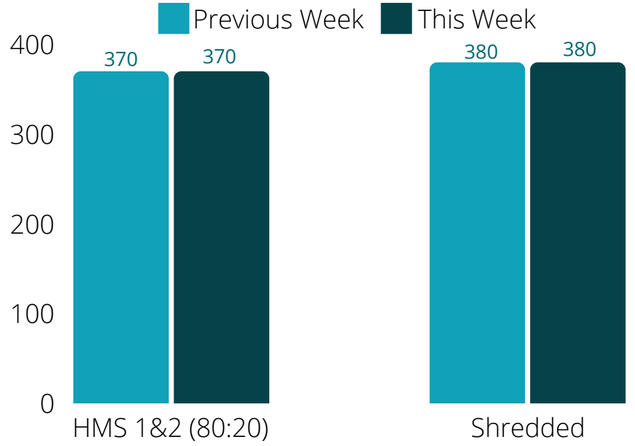
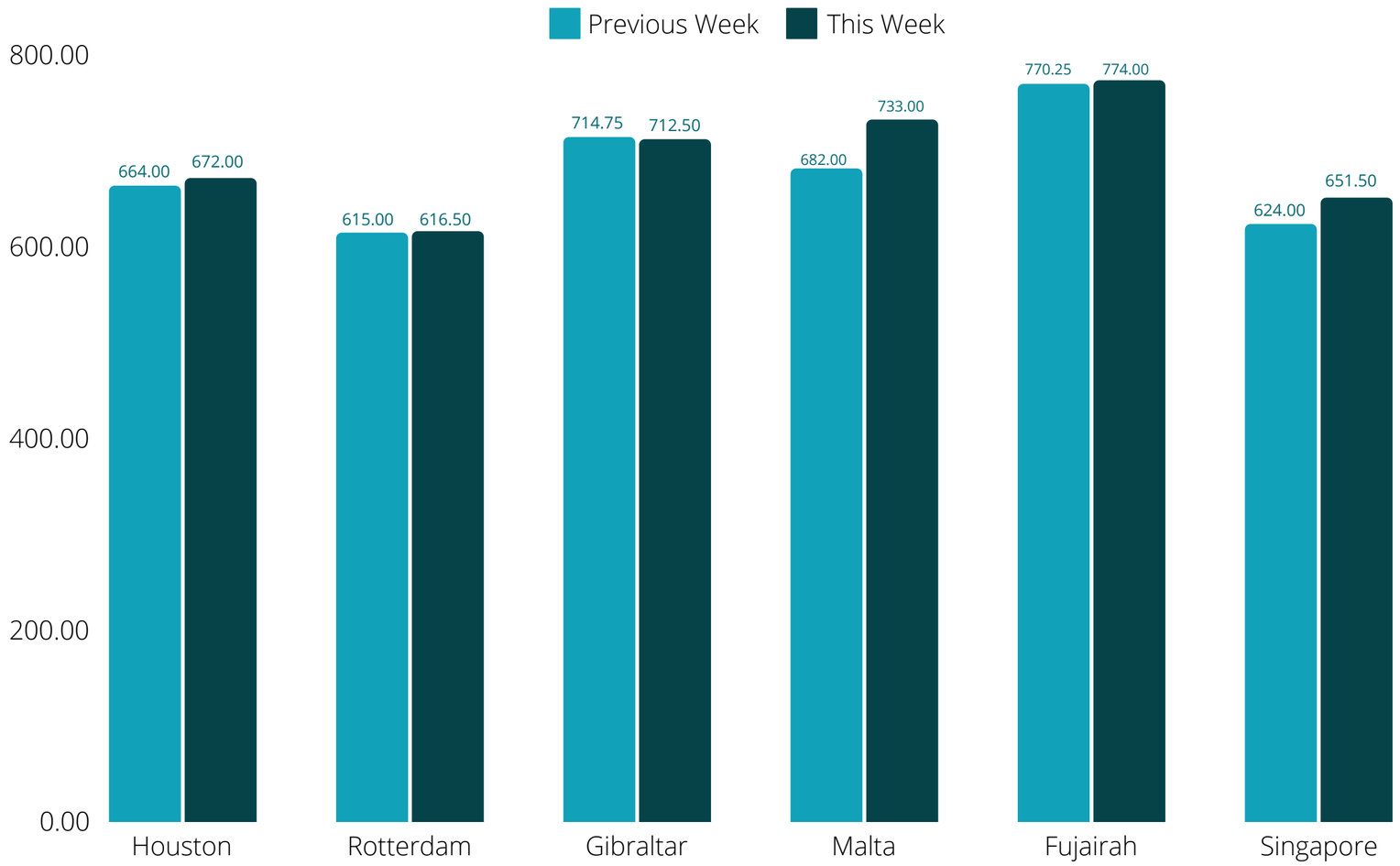


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 74.50
Previous Week	: 72.70
Movement	: + 1.80

WTI Crude

This Week	: 71.72
Previous Week	: 69.74
Movement	: + 1.98

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
SERENITY 1	BULKER	9060247	1994	JAPAN	6,350	DELIVERED	CHITTAGONG,BANGLADESH	495
NEW WAY	GENERAL CARGO SHIP	8857693	1969	CZECHOSLOVAKIA	1,203	DELIVERED	ALIAGA, TURKIYE	UNDISCLOSED
MSC AGATA II	CONTAINER	9057173	1994	POLAND	7,364	DELIVERED	ALANG, INDIA FOR GREEN RECYCLING YARDS AS PER MSC LIST	UNDISCLOSED
MSC GABRIELLA	CONTAINER	8413875	1985	GERMANY	8,911	DELIVERED	ALANG, INDIA FOR GREEN RECYCLING YARDS AS PER MSC LIST	UNDISCLOSED

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